

Done!

ECONOMICS

2281/12

Paper 1 Multiple Choice

May/June 2015

45 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO NOT WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.

Solved with reasons!

Arak

Arak
Mustang!

This document consists of **10** printed pages and **2** blank pages.

- 1 What is the basic economic problem? → Unlimited wants
limited resources
Scarcity
choice
Opportunity cost!
- A finite resources and limited wants
 - ☒ B finite resources and unlimited wants
 - C infinite resources and limited wants
 - D infinite resources and unlimited wants

- 2 New oil reserves are discovered. → from Land

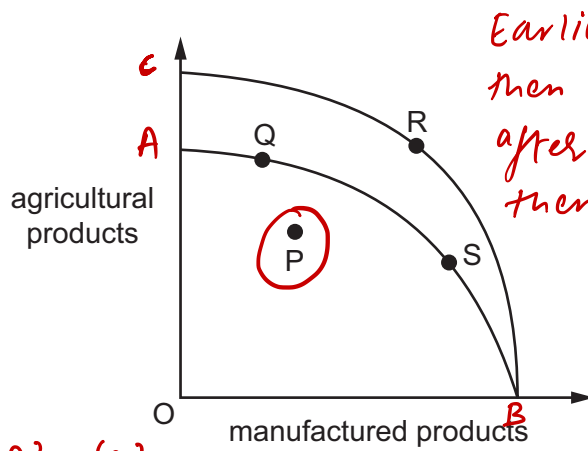
What has increased in supply?

- A capital
- B enterprise
- C labour
- ☒ D land

- 3 The diagram shows production possibility curves (PPC) for a country that can produce agricultural products or manufactured products.

Its current PPC passes through points Q and S but the country is currently experiencing unemployment.

Now at 'P'



Earlier at 'AB'
then at 'P' (From)
after that 'AB' ↓
then at 'R' (To)

Either 'Q' or 'S'

output of Agricultural products ↑

If there is now full employment at the same time as new agricultural techniques enable an increase in productivity, what would be the movement on the PPC diagram?

- ☒ A P to R
- B P to S
- C Q to R
- D S to Q

- 4 A person makes sandwiches at home for five hours each day. She makes 20 sandwiches per hour, and she sells each sandwich for \$2 each.

What is the opportunity cost if she takes a holiday on a working day?

- A \$2
B \$40
C 20 sandwiches
☒ D 100 sandwiches

* $5 \text{ hr} \times 20 (\text{per hr}) \Rightarrow 100 \text{ sandwiches}$
* Real cost of choosing one thing and not another i.e. next best alternative forgone!

- 5 What would not be an example of the working of a market system? (D = S)

- A a high price charged because of costly research to produce the good Demand and Supply
B a high price charged for a well-known painting Demand and Supply
C a low price charged because of economies of scale Demand and Supply
☒ D a low price charged for subsidised bus travel

↳ Government intervention

- 6 A product has a price elasticity of supply of +2. A change in price causes the quantity supplied to change from 100 units to 120 units.

What is the price change?

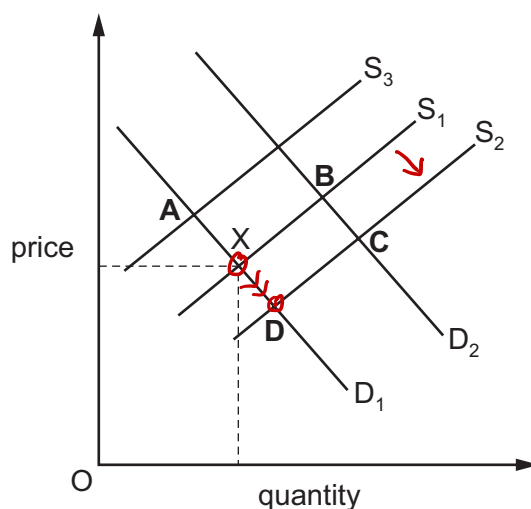
- A a fall of 10%
B a fall of 40%
☒ C a rise of 10%
D a rise of 40%

$$PES = \frac{\% \Delta \text{ in } QS}{\% \Delta \text{ in price}} = +2 \text{ [Elastic Supply]}$$

$$\% \Delta \text{ in } QS = \frac{120 - 100}{100} \times 100 = 20\%$$

$$+2 = \frac{20}{x} = \boxed{+10} \Rightarrow \% \Delta \text{ in price}$$

- 7 The diagram shows the market for fresh fish in the Caribbean with equilibrium point A.
A new type of fishing boat increases production, which reduces costs.
 Which point represents the new equilibrium?



- 8 A large supermarket applied to build on land which was in an area of natural beauty. The local government allowed the building, even though the natural beauty of the area would be lost, because many jobs would be created and much needed income would be brought to the local community. External Benefit

public sector

Which economic ideas cannot be found in the above statement?

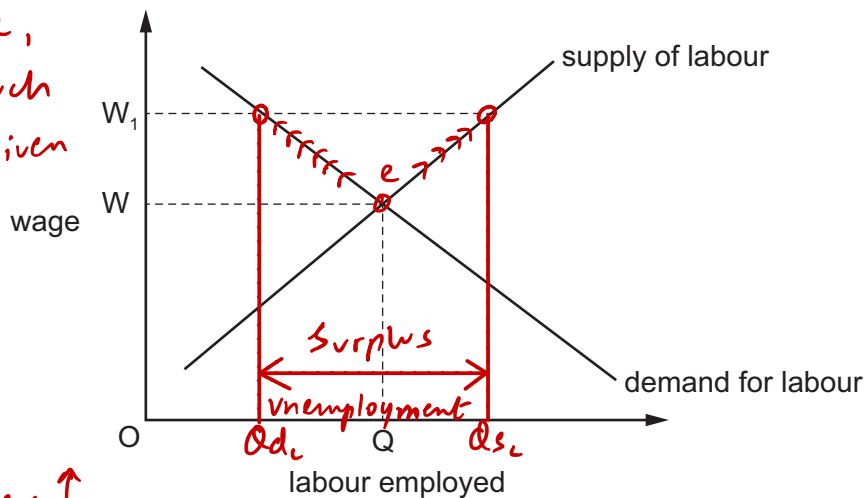
- A external cost and private enterprise
 B free market and the conservation of resources
 C opportunity cost and improved standards of living
 D public sector and external benefit

- 9 A businesswoman seeks a 10-year loan from a bank. She has listed her four most valuable possessions which could be offered to the bank in order to obtain the loan.

Which item would the bank be least likely to accept as security for the loan?

- A a collection of gold coins, jewellery and antiques Yes!
 B a house in a desirable part of town Yes!
 C a part ownership in a race horse No!
 D a portfolio of government bonds Yes!

- 10 A trade union and employers agree a minimum wage (W_1) which is above the market wage (W) for that industry.



What is the effect of paying the minimum wage (W_1)?

- A demand for workers will exceed the supply (case of shortage of workers)
 B fewer workers will be employed **Yes!**
 C some workers will continue to be paid at wage W (No!)
 D workers will be less willing to work for the minimum wage (more willing) (Q to Q_s)

- 11 In choosing their occupation, people often take into account aspects of the job other than pay.

Which would **not** be a good match for the aspects of employment a worker is looking for?

	desired aspect	occupation
A	a wish for an outdoor lifestyle and to develop teamwork	army officer
B	a wish for foreign travel and to have responsibility	airline pilot
C	a wish for public respect and to undertake precise work	heart surgeon
D	a wish to work <u>with the general public</u> and <u>investigate nature</u>	<u>marine biologist</u>

good match for other than pay!

not a good match

not with general public!

- 12 What may exist in monopoly but **not** in perfect competition?

- A barriers to entry (Artificial and Natural Barriers)
 B identical products (Homogeneous products)
 C market price (Price taker)
 D perfect knowledge (No Advertising) (No discrimination)

13 What is not a reason for the decline in manufacturing industries in developed economies in recent years?

Technological Advancement

- A growth of newly industrialised competitor countries
- ☒ B invention of automated production methods
- C rising costs of factor inputs in the steel industry
- D considerable skill shortages as school-leavers prefer to work in the service sector

14 In 2013, Barclays Bank had two branches in a city. It decided to close them both, move to a different building and employ fewer hourly-paid staff.

variable cost reduces

fixed cost reduces

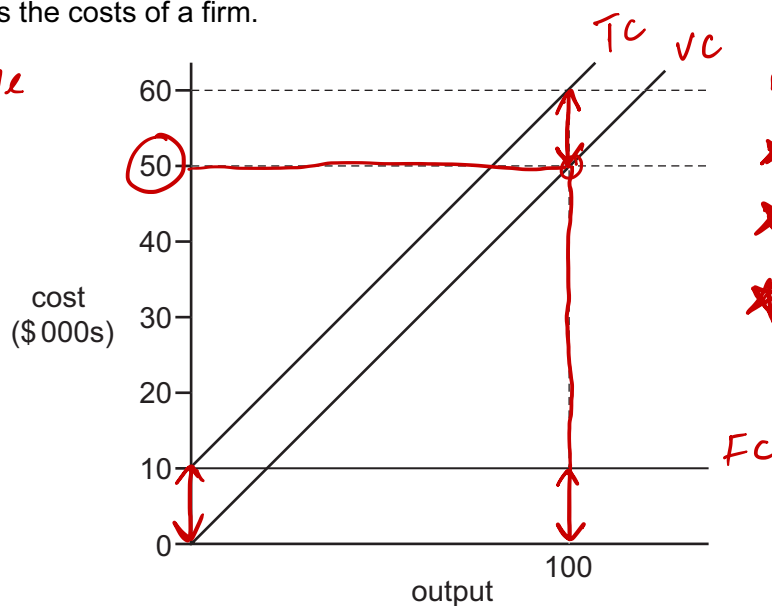
What is likely to have happened to the bank's fixed and variable costs?

	fixed cost	variable cost
☒ A	fall	fall
B	fall	rise
C	rise	fall
D	rise	rise

- * Fixed cost, doesn't change with the level of output
- * Variable cost, varies with the level of output

15 The diagram shows the costs of a firm.

Total cost = Fixed cost + Variable cost



At '100' output

- * $Fc = \$10000$
- * $Vc = \$50000$
- * $Tc = \$60000$

What is the firm's total variable cost at an output of 100 units?

- A \$100
- B \$500
- C \$10 000
- ☒ D \$50 000

16 What is most likely to cause a fall in the rate of inflation?

- A an increase in consumer spending $C \uparrow, AD \uparrow, \text{Prices} \uparrow$
 B an increase in import prices $m \text{ prices} \uparrow, m(TE) \downarrow, C \uparrow, AD \uparrow, \text{Prices} \uparrow$
☒ C an increase in income tax $\text{income tax} \uparrow, \text{Disposable income} \downarrow, C \downarrow, AD \downarrow, \text{Prices} \downarrow$
 D an increase in wage rates $\text{wages} \uparrow, \text{cost} \uparrow, AS \downarrow, \text{Prices} \uparrow$

17 In recent years, governments have had to manage the effects of a world recession. when $AD \downarrow$
 Which supply-side policy could have been used to stimulate economic growth? $AS \uparrow$

- A increases in income tax $\text{fiscal policy, income Tax} \uparrow, AD \downarrow$
☒ B investment in skills training schemes $\text{Improving and increasing their potential, } AS \uparrow$
 C payments of unemployment benefits $\text{fiscal policy, government Expenditure}$
 D reduction in interest rates monetary policy

18 Russia exports wheat. In 2010, a bad harvest led the Russian government to prevent the export of wheat, to ensure enough supplies were kept for domestic use.

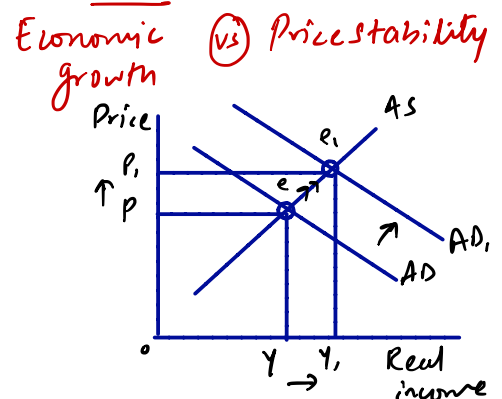
What was the most likely outcome of the government's action?

- A prices were fixed by the wheat producers (not mentioned)
 B the amount produced was determined by the government (not mentioned)
 C the price of wheat abroad fell $(\text{Shortage in international market}) (\text{Prices} \uparrow)$
☒ D there was a redistribution of domestic production $[\text{For domestic use, as mentioned}]$
 $G \uparrow, AD \uparrow, \text{growth, long run: Prices} \uparrow$

19 A government increases expenditure on infrastructure to stimulate an economy.

With which of the other government aims for an economy might this conflict?

- A a decrease in income inequality
 B a higher rate of economic growth
 C a lower level of unemployment
☒ D a steady price level



20 Who is most likely to benefit during a period of inflation?

- A creditors (lenders) $(\text{They will receive less})$
☒ B debtors (borrowers) $(\text{They have to return less in terms of value of money})$
 C fixed income earners $(\text{Real value of money fall})$
 D holders of cash $(\text{Value of money reduces})$

Inflation, persistent and sustained increase in general price level, over a given period of time.

21 The Human Development Index (HDI) measures more than just average incomes.

What are two additional measures it includes?

- ☒ A life expectancy years of schooling
- ☐ B percentage unemployed number of hospitals
- ☐ C poverty rate years of schooling
- ☐ D years of schooling access to clean water

HDI

- * Real GDP per head
- * Life expectancy (longevity)
- * Schooling year (Education enrollment)

22 The table shows some economic indicators for four countries.

country	inflation	unemployment	GDP growth
P	3.0%	11.3%	3.5%
Q	4.2%	7.6%	1.0%
R	1.3%	12.2%	3.0%
S	3.5%	10.1%	2.3%

What can be concluded from the table?

- ☐ A high GDP growth occurred with low unemployment [Wrong] Country 'P'
- ☐ B high inflation occurred with high GDP growth [Wrong] Country 'Q'
- ☐ C low GDP growth occurred with low inflation [Wrong] Country 'R'

- ☒ D low inflation occurred with high unemployment [Fits with every country]

23 When would an increase in aggregate demand be least likely to result in inflation in an economy?

- ☐ A when it is the result of an increase in government expenditure $C \uparrow, AD \uparrow, \text{Prices} \uparrow$
- ☐ B when it is the result of an increase in expenditure on consumer goods $C \uparrow, AD \uparrow, \text{Prices} \uparrow$
- ☒ C when there are substantial unemployed resources in the economy [Availability of resources]
- ☐ D when there is a substantial increase in expenditure on imports [This reduces AD]
- Multiplier effect

24 In 2013, subsistence farming, which involved a large percentage of the population, was a significant activity in the Philippines and Indonesia.

What can be concluded about the Philippines and Indonesia from this information?

- ☐ A a good use was being made of natural resources
- ☐ B production was likely to involve skilled labour
- ☒ C the GDP in these countries was likely to be underestimated
- ☐ D there was no need to import food because the population was self-sufficient

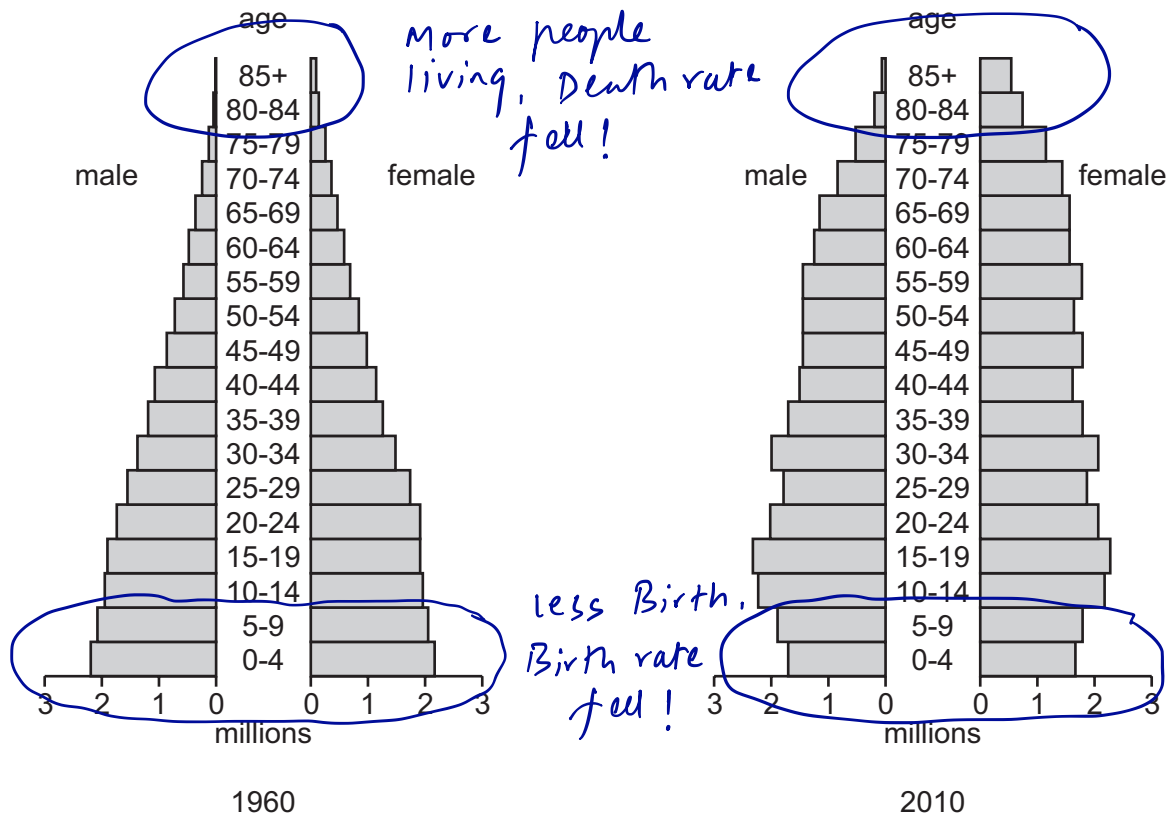
* so output produced but not recorded, thus GDP will be underestimated!

* Subsistence agriculture is a self sufficiency farming system in which the farmers focus on growing enough food to feed themselves and their entire families. The output is mostly for local requirements with little or no surplus trade

25 Which feature is not a typical characteristic of a developed country?

- ☒ A a high death rate (happens in developing economy)
 B a high literacy rate (yes!) [Education]
 C a large elderly population (yes!) [life expectancy]
 D a low number of doctors per head (yes!) (merit goods)

26 The charts show the population structure of a country in 1960 and 2010.



During this period, how did birth and death rates change?

	birth rates	death rates
☒ A	fell	fell
B	fell	no change
C	rose	fell
D	rose	no change

27 Which combination of changes is most likely to result in a fall in living standards in a country?

	GDP	inflation	population
A	fall ✓	fall	rise ✓
B	fall ✓	rise ✓	rise ✓
C	rise	fall	fall
D	rise	rise ✓	fall

$GDP \downarrow$
 $income \downarrow$
 $AD \downarrow$
 Downward multiplier
 Inflation $\uparrow$
 purchasing power $\downarrow$
 value of money $\downarrow$
 population $\uparrow$
 Burden $\uparrow$
 Dependency $\uparrow$

28 What is an advantage of international specialisation? $\Rightarrow$ Free trade

A choice is limited (More choices)

B countries become overdependent on each other

~~C~~ resources are used more efficiently [concept of comparative Advantage]
[Less wastage]

D transport costs are decreased

29 The table shows information on the trading position of four major economies in 2013.

Which country had the strongest trading position?

	country	current account balance (US \$ billion)	% of GDP	currency unit per US \$
A	China	+211.7	+1.9	6.12
B	Germany	+246.0 ✓	+6.4 ✓	0.75 ✓
C	Japan	+54.1	+1.0	79.4
D	UK	-96.7	-2.8	0.64

Germany
current account
Balance is
highest

% of GDP highest

No bigger difference
is currency

30 The table shows the trade in goods balance and the current account balance of the balance of payments for four countries during a year.

Which country had the largest surplus on its trade in services, assuming no other transfers or income flows?

	country	trade in goods balance (\$ billion)	current account balance (\$ billion)	Trade in services
A	Hong Kong	6.2	6.2	0
B	Indonesia	4.4	4.3	-0.1
C	Mexico	7.8	7.6	-0.2
D	Singapore	5.3	5.4	+0.1

current account

* Trade in goods
* Trade in services

'0' $\leftarrow$ * Net incomes
'0' $\leftarrow$ * Net transfers

current account - Trade in goods = Trade in services

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